

READING PASSAGE 3

You should spend about 20 minutes on **Questions 27–40**, which are based on Reading Passage 3 *below*.

Women and the vision thing

Many believe that bias against women lingers in the business world, particularly when it comes to evaluating their leadership ability. Recently, we had a chance to see whether that assumption was true. In a study of thousands of 360-degree assessments collected by INSEAD's executive education program over the past five years, we looked at whether women actually received lower ratings than men. To our surprise, we found the opposite: as a group, women outshone men in most of the leadership dimensions measured. There was one exception, however, and it was a big one: Women scored lower on 'envisioning' — the ability to recognize new opportunities and trends in the environment and develop a new strategic direction for an enterprise.



But was this weakness a perception or a reality? How much did it matter to women's ability to lead? And how could someone not perceived as visionary acquire the right capabilities? As we explored these issues with successful female executives, we arrived at another question: Was a reputation for vision even something many of them wanted to achieve?

A brilliant career

A leading services company CEO we'll call Anne Dumas typified in many ways the women we spoke with. The pillar of her leadership style was a principle taught to her 20 years ago by her first boss: Always stay close to the details. As she explained it: "I think strategy comes naturally from knowing your business and the forces that influence your market, clients, and suppliers — not at a high level but at a detailed level. Intermediaries kill your insight. You obviously can't monitor everything, but nothing should keep you from knowing in detail the processes on which your company runs — not supervising everything but understanding at a detailed level what is going on. Otherwise, you are hostage to people who will play politics. At best you don't have full information; at worst you're vulnerable to hidden agendas. My job is to go to the relevant detail level."

In her four years as CEO, Dumas had achieved some impressive results. She had doubled revenues and operating margins, given the company a new strategic direction, and undertaken a fundamental reorganization of the company's core processes and structures. More recently, she had turned her attention to developing her leadership team.

Yet Dumas knew she should somehow improve her communication effectiveness, particularly in her role as an executive member of her parent company's board. One challenge was her stylistic mismatch with her chairman, a broad-brush, big-picture thinker who often balked at what he perceived as excessive attention to detail. She found herself reluctant to favor 'form over substance'. She told us, "I always wonder what people mean when they say, 'He's not much of a manager but is a good leader.' Leader of what? You have to do things to be a leader." She went on to imply that so-called visionary behaviors might even be harmful. "We are in danger today of being mesmerized by people who play with our reptilian brain. For me, it is manipulation. I can do the storytelling too, but I refuse to play on people's emotions. If the string pulling is too obvious, I can't make myself do it."

Dumas's reluctance is not unusual. One of the biggest developmental hurdles that aspiring leaders, male and female alike, must clear is learning to sell their ideas — their vision of the future — to numerous stakeholders. Presenting an inspiring story about the future is very different from generating a brilliant strategic analysis or crafting a logical implementation plan, competencies on which managers like Dumas have built their careers.

Indeed, a whole generation of women now entering the C-suite owe their success to a strong command of the technical elements of their jobs and a nose-to-the-grindstone focus on accomplishing quantifiable objectives. But as they step into bigger leadership roles — or are assessed on their potential to do so — the rules of the game change, and a different set of skills comes to the fore.

Vision impaired

Our research drew on 360-degree evaluations of 2,816 executives from 149 countries enrolled in executive education courses at Insead. As with most 360-degree exercises, these managers filled out self-assessments and invited subordinates, peers, supervisors, and other people they dealt with in a professional context, such as suppliers and customers, to evaluate them on a set of leadership dimensions. In total 22,244 observers participated.

As we looked for patterns within this data set, we focused on differences between the male and female leaders, both in terms of how they saw themselves and in terms of how the observers evaluated them. Certainly, there were plenty of data to work with, since 20% of the executives assessed and 27% of the evaluating observers were women. When analyzing the data, we controlled for the effects of the executives' age and level.

The first surprise for us, given prior published research, was that we found no evidence of a female 'modesty effect'. Quite the opposite: women rated themselves significantly higher than men rated themselves on four of the 10 GELI dimensions we analyzed. And on the remaining dimensions, the women and men gave themselves ratings that were about the same.

What it means to be visionary

George H. W. Bush famously responded to the suggestion that he look up from the short-term goals of his campaign and start focusing on the longer term by saying, “Oh — the vision thing.” His answer underlines vision’s ambiguity. Just what do we mean when we say a person is visionary?

The distinction between management and leadership has long been recognized. Most agree that managing for continuous improvement to the status quo is different from being a force for change that compels a group to innovate and depart from routine. And if leadership is essentially about realizing change, then crafting and articulating a vision of a better future is a leadership prerequisite. No vision, no leadership.

But just as leadership is a question of what one does rather than what one is, so too is vision. It encompasses the abilities to frame the current practices as inadequate, to generate ideas for new strategies, and to communicate possibilities in inspiring ways to others. Being visionary, therefore, is not the same as being charismatic. It entails ‘naming’ broad-stroke patterns and setting strategy based on those patterns.

Visionary leaders don’t answer the question ‘Where are we going?’ simply for themselves; they make sure that those around them understand the direction as well. As they search for new paths, they conduct a vigorous exchange with an array of people inside and outside their organizations, knowing that great visions rarely emerge from solitary analysis. As ‘practical futurists’, leaders also test new ideas pragmatically against current resources (money, people, organizational capabilities) and work with others to figure out how to realize the desired future. True strategists offer much more than the generic vision statements that companies hang on their walls; they articulate a clear point of view about what will transpire and position their organizations to respond to it. All of this adds up to a tall order for anyone in a leadership role. It’s not obvious, however, why it should be a particular challenge for women.

Perception or reality?

As we sought to understand why women fail to impress with their vision, research findings from prior studies were not much help. To begin with, most attempts to compare men’s and women’s styles have focused on how leaders are rated by subordinates. Yet, as we all know, leaders play a key role in managing stakeholders above, across, and outside their units. Moreover, the vast majority of studies ask participants either to rate hypothetical male and female leaders or to evaluate ‘the majority’ of male or female leaders they know, rather than the actual, specific leaders they know well. Empirical studies of gender differences in leadership styles have often used populations of students, members of diverse associations, and nonmanagers, rather than the midlevel to senior business managers we are actually trying to understand.

We turned therefore to the experts who were living this reality every day: the women participating in our executive education programs. When we asked how they would interpret our data, we heard three explanations.

First, several women noted that they tended to set strategy via processes that differed from those used by their male counterparts. This suggests that what may in fact be visionary leadership is not perceived that way because it takes a different path.

Second, we heard that women often find it risky to stray away from concrete facts, analyses, and details. And third, many women betrayed negative attitudes toward visionary leadership. Because they thought of themselves as grounded, concrete, and no-nonsense, and had seen many so-called visionary ideas founder in execution, they tended to eye envisioning behaviors with some suspicion. Each of these interpretations invited serious consideration.

Theory 1: women are equally visionary but in a different way

Several of the women who had taken the GELI survey argued that it is not that women lack vision but that they come to their visions in a less directive way than men do. One executive put it like this: “Many women tend to be quite collaborative in forming their vision. They take into account the input of many and then describe the result as the group’s vision rather than their own.”

Another said, “I don’t see myself as particularly visionary in the creative sense. I see myself as pulling and putting together abstract pieces of information or observations that lead to possible strategies and future opportunities.”

Vivienne Cox, CEO of BP Alternative Energy, is known for having an ‘organic’ leadership style. She led a team that crafted a strategy for moving BP into alternative energy in a more unified and substantial way, by combining a set of peripheral businesses such as solar, wind, and hydrogen-fired power plants into one new low-carbon-powered unit that BP would invest billions in. Ask those involved how the new strategy came about, and the answer always involves multiple players working collaboratively. One of her key lieutenants described Cox’s approach like this: “She thinks about how to create incentives or objectives so that the organization will naturally find its own solutions and structures. It encourages people to be thoughtful, innovative, and self-regulating.” Cox herself claims that her role is to be a ‘catalyst’. She consistently articulates a management philosophy in which the leader does not drive change but, rather, allows potential to emerge.

Interestingly, the processes these women describe do not hinge just on a collaborative style. They also rely on diverse and external inputs and alliances. At BP Alternative Energy, Cox spent much of her time talking to key people outside her business group and the company in order to develop a strategic perspective on opportunities and sell the idea of low-carbon power to her CEO and peers. Her ideas were informed by a wide network that included thought leaders in a range of sectors. She brought in outsiders who could transcend a parochial view to fill key roles and invited potential adversaries into the process early on to make sure her team was also informed by those who had a different view of the world. Our results hint at an interesting hypothesis: by involving their male peers in the process of creating a vision, female leaders may get less credit for the result.

Theory 2: women hesitate to go out on a limb

Some women responded to our findings by noting that they need to base their marching orders on concrete facts and irrefutable analysis, not unprovable assertions about how the future will take shape. Here, two Democratic candidates for the 2008 US presidential race offer an interesting parallel. Barack Obama was viewed as a visionary, a charismatic communicator offering a more hopeful if undetailed future. Hillary Clinton was viewed as a competent executor with an impressive if uninspiring grasp of policy detail. According to a recent *New Yorker* article by George Packer, Clinton as much as admitted that she does not inspire through rhetoric and emotion. She said: “A president, no matter how rhetorically inspiring, still has to show strength and effectiveness in the day-to-day handling of the job, because people are counting on that. So, yes, words are critically important, but they’re not enough. You have to act. In my own experience, sometimes it’s putting one foot in front of the other day after day.”

Might women feel they have to choose between being seen as competent and in control or being visionary? Recall Anne Dumas, our services executive, and her pride in having a vast, detailed knowledge of what is happening in her firm. Often, she told us, she’d called on that reservoir of data to defend her position against challenges. The same attitude comes through in the observation of a management consultant who told us, “Men speak more confidently and boldly on an issue, with very little data to back it up. Women want to have a lot of data and feel confident that they can back up what they are saying.”

A common obstacle for female leaders is that they often lack the presumption of competence accorded to their male peers. As a result, women are less likely to go out on a limb, extrapolating from facts and figures to interpretations that are more easily challenged. When a situation is rife with threat — when people, male or female, expect that they are ‘guilty until proven innocent’ — they adopt a defensive, often rigid, posture, relying less on their imagination and creativity and sticking to safe choices.

The presumption-of-competence effect is compounded by gender stereotypes that lead us to expect emotional, collaborative women and rational, directive men. When men communicate from the heart or manage participatively, it’s taken as evidence of range, an added plus. Women’s emotional communication or inclusive process, by contrast, is implicitly viewed as proof of an incapacity or unwillingness to do otherwise, even if the situation calls for it.

Theory 3: women don’t put much stock in vision

Do men and women really have different leadership styles? Certainly a lot of ink has been spilled on the question, but the answer provided by hundreds of studies, subjected to meta-analysis, is no. When other factors (such as title, role, and salary) are held constant, similarities in style vastly outweigh the differences. The occasional finding that women are slightly more people oriented and participative tends not to hold up in settings where there are few women — that is, in line positions and upper management. But put aside the science and ask individuals for their opinion on whether men and women have different leadership styles, and most women (and men) answer yes.

This can only complicate the solution to the vision deficit. It's one thing for a woman who suspects she is wrongly perceived to resolve to change certain behaviors in order to convey the competence and substance she has to offer. It's quite another thing when her own self-conception has become colored by the same biases.

Our interviews with female executives highlighted one potential difference in attitude between the genders that could explain women's lower ratings on envisioning. We suspect women may not value envisioning as a critical leadership competency to the same extent that men do or may have a more skeptical view of envisioning's part in achieving results. Over and over again in our discussions with women, we heard them take pride in their concrete, no-nonsense attitude and practical orientation toward everyday work problems. We were reminded of a comment made by Margaret Thatcher: "If you want anything said, ask a man; if you want anything done, ask a woman." Many of the women we interviewed similarly expressed the opinion that women were more thorough, had a better command of detail, and were less prone to self-promotion than men. Like Anne Dumas, they valued substance over form as a means of gaining credibility with key stakeholders. A pharmaceutical executive elaborated further: "I see women as more practical. Although the women in my organization are very strategic, they are also often the ones who ground the organization in what is possible, what can or cannot be done from the human dimension."

Making the leadership transition

Women may dismiss the importance of vision — and they may be reassured by the many claims made over the years about their superior emotional intelligence — but the fact remains that women are a minority in the top ranks of business organizations. Our findings suggest to us that the shortfall is in no small part due to women's perceived lack of vision.

The findings of a 2008 study by Catalyst researchers Jeanine Prime and Nancy Carter and IMD professors Karsten Jonsen and Martha Maznevski concur. In it, more than 1,000 executives from nine countries (all alumni of executive education programs) were asked for their impressions of men and women in general as leaders. Both men and women tended to believe that the two genders have distinct leadership strengths, with women outscoring men on some behaviors, and men outscoring women on others. But here's the catch: when people were asked to rate the behaviors' relative importance to overall leadership effectiveness, the 'male' behaviors had the edge. Across countries, 'inspiring others' — a component of our envisioning dimension — landed at the top of the rankings as most important to overall leadership effectiveness. And what of the areas of leadership where men agreed that women were stronger? Let's take women's standout advantage: their much greater skill at 'supporting others'. That one ranked at the bottom of the list. As a component of overall leadership effectiveness, it was clearly not critical but merely nice to have.

We've seen how these priorities play out at close hand, in the personal stories of women we study. Particularly at midcareer, when senior management sizes up the leadership potential of competent managers, they take their toll. A manager we'll call Susan offers a cautionary tale. A strong performer, Susan rose through the functional ranks in logistics and distribution, thanks to her superior technical and people skills and belief in running a tight ship. As a manager she prided herself on her efficient planning and organizing and her success in building a loyal, high-performing team. But her boss saw her capabilities differently. By this point in her career, he expected her to sense emerging trends or unexploited opportunities in the business environment, to craft strategy based on a view of the business as opposed to a view of her function, and to actively work to identify and bring on board stakeholders. Eventually a proposal came from outside her division calling for a radical reorganization of it. Still focused on making continuous improvement to the existing operation, Susan lacked the networks that would have helped her spot shifting priorities in the wider market and was blindsided by the idea.

It's often observed that the very talents that bring managers success in midlevel roles can be obstacles to their taking on bigger leadership roles. That was Susan's situation, and it's possible that it is a common trap for women. Having had the message drummed into their heads that they must be rational, nonemotional, and hyperefficient, they might actually place a higher value than men on knowing the details cold and getting the job done. That, in turn, makes their leadership transition more difficult, because they stick with what they know longer. Another woman we interviewed, this one an investment banker, captured the scale of the challenge. "It's like my whole basis for existence is taken away from me," she told us, "if I can't rely on the facts." Her words reminded us that an executive's accustomed approach and style define who she is as a leader. To walk away from them is to be left without a clear sense of identity.

The challenge facing women, then, is to stop dismissing the vision thing and make vision one of the things they are known for. In a senior leadership role, it's the best use of their time and attention. It's a set of competencies that can be developed. And of all the leadership dimensions we measured, it's the only thing holding women back.

Reference:

Ibarra, H., & Obodaru, O. (2009, January). *Women and the vision thing*. *Harvard Business Review*, 87(1), 62–70. <https://hbr.org/2009/01/women-and-the-vision-thing>